

If you look at the overall picture, you might think that price would continue down—a downward breakout (following the downward inbound trend). I could not tell which direction price would go, so I decided to wait for the breakout. If the formation acted as a consolidation, then the breakout would be downward. However, with a two-step downtrend from the high at 20.63, this reminded me of a measured move down with a long corrective phase. I thought it might break out upward. If the rectangle were taller, I would try an intraformation trade (buy at 11.13, sell at 12.38, and then reverse).

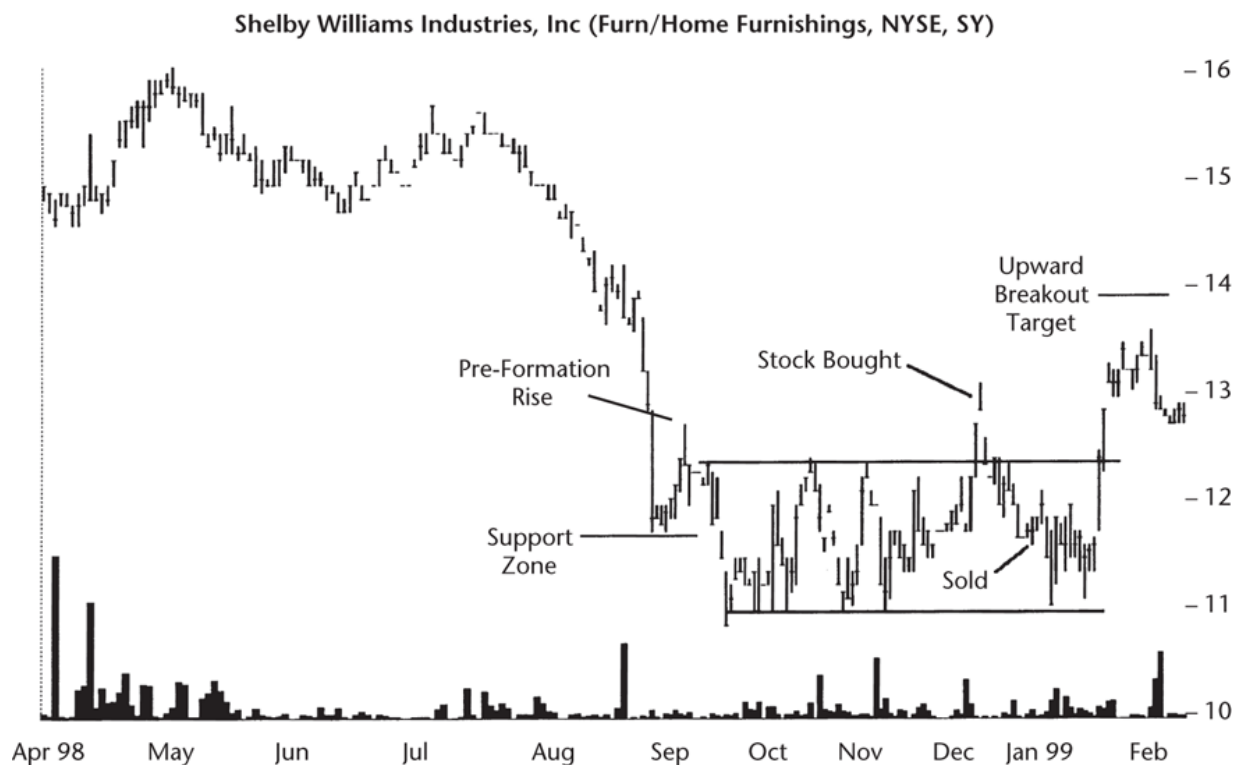


Figure 51.5 Rectangle bottom followed by upward breakout. The measure rule applied to this rectangle bottom computes the formation height as the difference between the trendlines. Adding the difference to the value of the top trendline gives an upward breakout target of 13.88.

In early December, price pierced the top trendline and closed above it, staging an upward breakout. I noticed the breakout the day after it happened and bought the stock at 13, midrange for the day.

I estimated that a support zone had formed at 11.75, so I placed a stop at 11.63. Price had stopped at this level just before the chart pattern formed and again just before the December breakout. A better stop would have been just below the lower rectangle trendline because both trendlines act as